MGT301 Principles of Marketing

Theme 8 [Topic # 090-107]

Topic #090

Products, Brands and Services

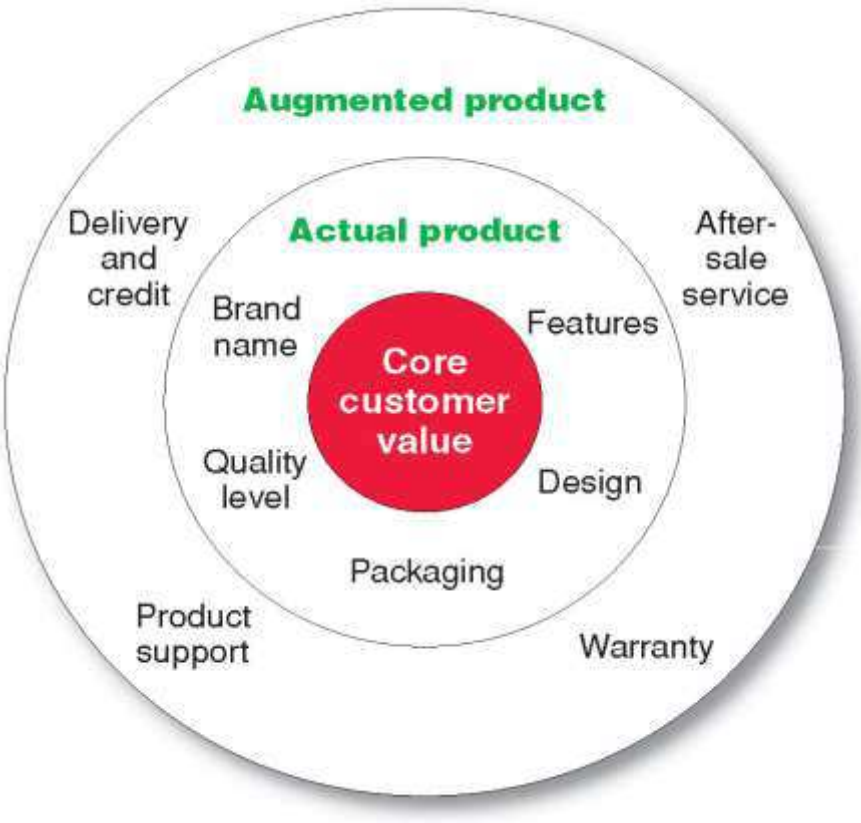
What is a Product?

A Product is anything that can be offered in a market for attention, acquisition, use, or consumption that might satisfy a need or want.

Experiences

what buying the product or service will do for the customer.

Levels of Products



Topic #091

Product Types

1. Consumer Products
2. Industrial Products

Consumer Products

Products and services for personal consumption.

Classification of Consumer Products

1. Convenience products
2. Shopping products
3. Specialty products
4. Unsought products

Convenience products

are consumer products and services that the customer usually buys frequently, immediately, and with a minimum comparison and buying effort.

- Newspapers
- Candy
- Fast food

Shopping products

are consumer products and services that the customer compares carefully on suitability, quality, price, and style

- Furniture
- Cars
- Appliances

Specialty products

are consumer products and services with unique characteristics or brand identification for which a significant group of buyers is willing to make a special purchase effort.

- Medical services
- Designer clothes
- High-end electronics

Unsought products

are consumer products that the consumer does not know about or knows about but does not normally think of buying.

- Life insurance
- Funeral services
- Blood donations

Topic #092

	Type of Consumer Product			
Marketing Considerations	**Convenience**	**Shopping**	**Specialty**	**Unsought**
Customer buying behavior	Frequent purchase; little planning, little comparison or shopping effort; low customer involvement	Less frequent purchase; much planning and shopping effort; comparison of brands on price, quality, and style	Strong brand preference and loyalty; special purchase effort; little comparison of brands; low price sensitivity	Little product awareness or knowledge (or, if aware, little or even negative interest)
Price	Low price	Higher price	High price	Varies
Distribution	Widespread distribution; convenient locations	Selective distribution in fewer outlets	Exclusive distribution in only one or a few outlets per market area	Varies
Promotion	Mass promotion by the producer	Advertising and personal selling by both the producer and resellers	More carefully targeted promotion by both the producer and resellers	Aggressive advertising and personal selling by the producer and resellers
Examples	Toothpaste, magazines, and laundry detergent	Major appliances, televisions, furniture, and clothing	Luxury goods, such as Rolex watches or fine crystal	Life insurance and Red Cross blood donations

Topic #093

Industrial Products

Products purchased for further processing or for use in conducting a business.

Classification of Industrial Products

1. Capital items

2. Materials and parts
3. Supplies and services

Capital items

are industrial products that aid in the buyer's production or operations.

Materials and parts

include raw materials and manufactured materials and parts usually sold directly to industrial users.

Supplies and services

include operating supplies, repair and maintenance items, and business services.

Topic #094

Special Concepts

1. Organization Marketing
2. Person Marketing
3. Place Marketing
4. Social Marketing

Organization Marketing

Consists of activities undertaken to create, maintain, or change attitudes and behavior of target consumers toward an organization.

Person Marketing

Consists of activities undertaken to create, maintain, or change attitudes and behavior of target consumers toward particular people.

Place Marketing

Consists of activities undertaken to create, maintain, or change attitudes and behavior of target consumers toward particular places.

Social Marketing

The use of commercial marketing concepts and tools in programs designed to influence individuals' behavior to improve their well-being and that of society.

Topic #095

Individual Product Decisions

1. Product Attributes
2. Branding
3. Packaging
4. Labeling
5. Support Services

Product attributes

are the benefits of the product or service.

- Quality
- Features
- Style and design

Topic #096

Brand

is the name, term, sign, or design—or a combination of these—that identifies the maker or seller of a product or service.

Packaging

involves designing and producing the container or wrapper for a product.

Labels

identify the product or brand, describe attributes, and provide promotion.

Support Services

generally, include after sale services, warranties etc.

Topic #097

Product Line Decisions

Product line

is a group of products that are closely related because they function in a similar manner, are sold to the same customer groups, are marketed through the same types of outlets, or fall within given price ranges.

Product line length

is the number of items in the product line:

- Line stretching
- Line filling

Product Mix Decisions

Product mix

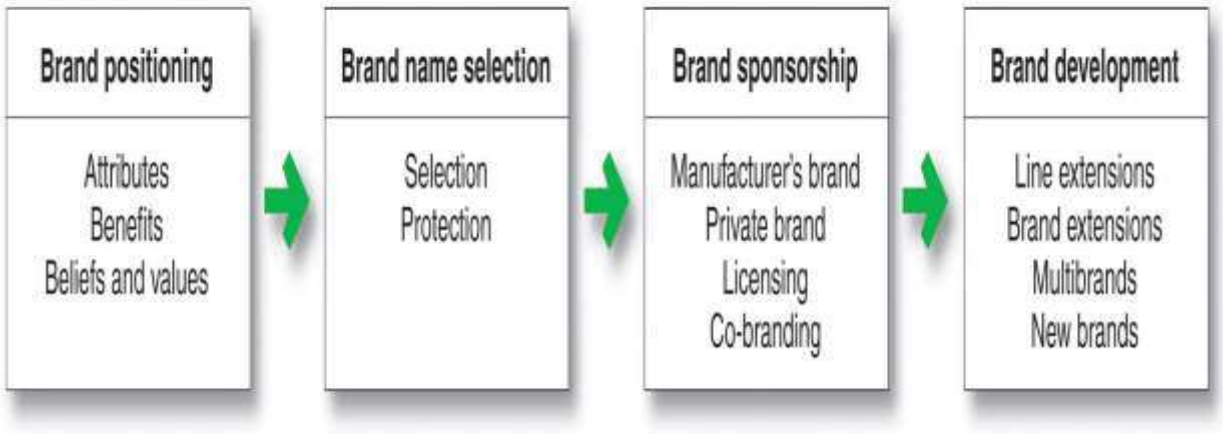
Consists of all the products and items that a particular seller offers for sale

- Width
- Length
- Depth
- Consistency

Topic #098

Brand & Branding

- Brand represents the consumer's perceptions and feelings about a product and its performance.
- It is the organization's promise to deliver a specific set of features, benefits, services, and experiences consistently to the buyers.



Brand Positioning

Marketers can position brands at any of three levels.

- Attributes
- Benefits
- Beliefs and values

Topic #099

Brand Name Selection

Desirable qualities

1. Suggest benefits and qualities
2. Easy to pronounce, recognize, and remember
3. Distinctive
4. Extendable
5. Translatable for the global economy
6. Capable of registration and legal protection

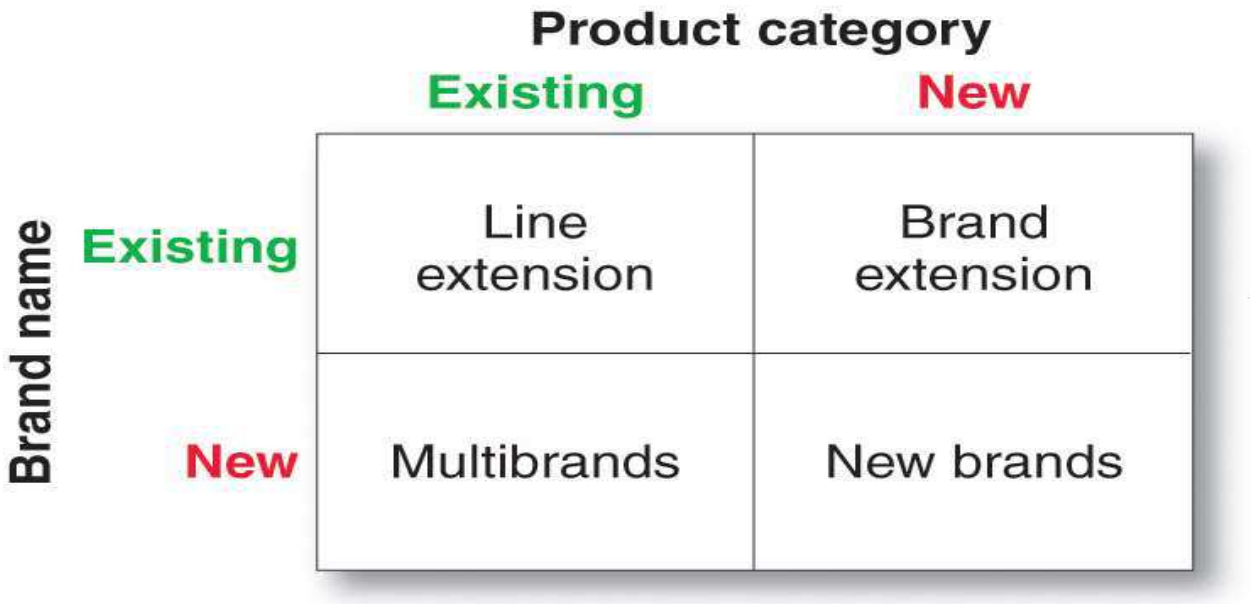
Topic #100

Brand Sponsorship

- Manufacturer's brand
- Private brand
- Licensed brand
- Co-brand

Topic #101

Brand Development Strategies



Topic #102

Services Marketing

What is a Service?

Service is an intangible and invisible product which results into value/benefit and has value in exchange.

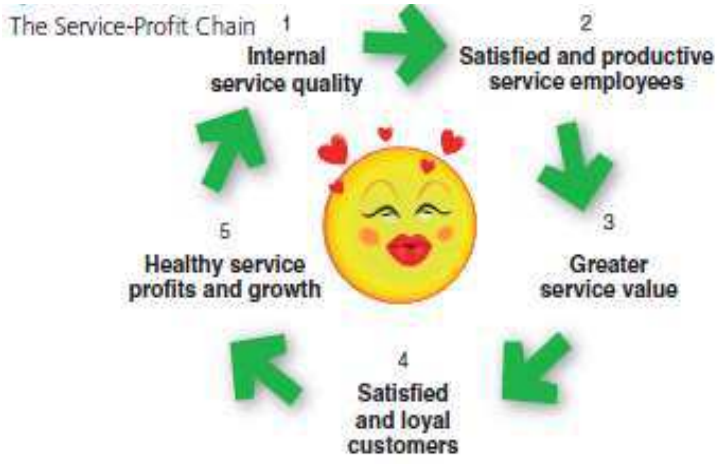
Such as Transportation, health, education etc.

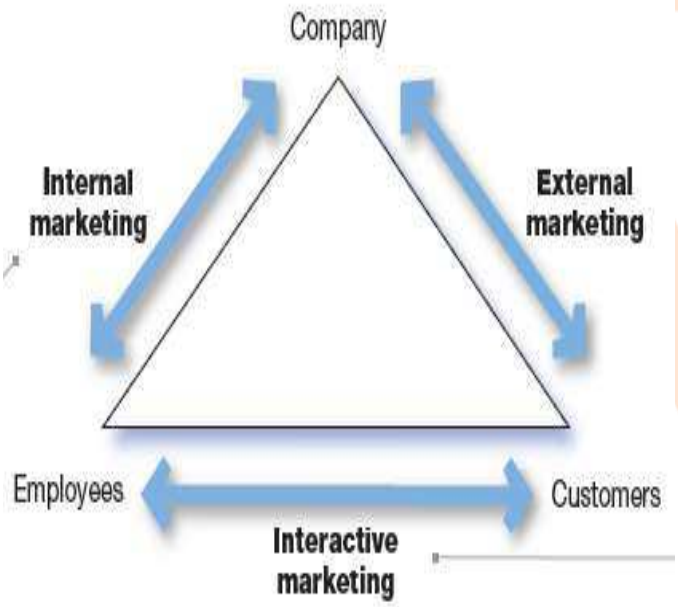
Characteristics of a Service

- Intangibility
- Variability
- Inseparability
- Perishability

Topic #103

Service Profit Chain





Topic #104

New Product Development

What to do?

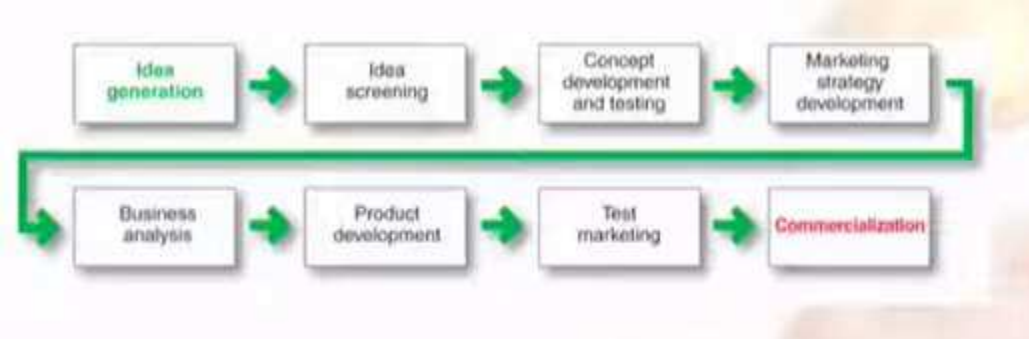
Acquisition

Vs.

New Product Development

How to Do?

New Product Development Process



Step 1

Idea Generation

Step 2

Idea Screening

Topic #105

Step 3

Concept Development and Testing

Step 4

Marketing Strategy Development

Step 5

Business Analysis

Step 6

Product Development

Step 7

Test Marketing

Step 8

Commercialization

Topic #106

New Product Failures

Why new Products Fail?

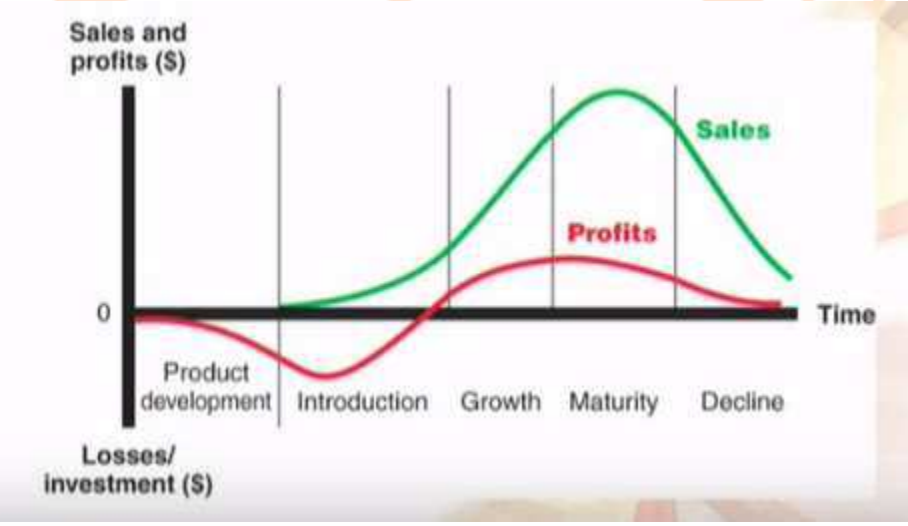
Why?

- Overestimation of market size
- Poor Design
- Incorrect Positioning
- Wrong timing
- Priced too high
- Ineffective Promotion
- Management Influence
- High Development Costs
- Competition

Topic #107

Product Lifecycle

Do products also grow old?



	Introduction	Growth	Maturity	Decline
Characteristics				
Sales	Low sales	Rapidly rising sales	Peak sales	Declining sales
Costs	High cost per customer	Average cost per customer	Low cost per customer	Low cost per customer
Profits	Negative	Rising profits	High profits	Declining profits
Customers	Innovators	Early adopters	Mainstream adopters	Lagging adopters
Competitors	Few	Growing number	Stable number beginning to decline	Declining number
Marketing objectives				
	Create product engagement and trial	Maximize market share	Maximize profit while defending market share	Reduce expenditure and milk the brand
Strategies				
Product	Offer a basic product	Offer product extensions, service, and warranty	Diversify brand and models	Phase out weak items
Price	Use cost-plus	Price to penetrate market	Price to match or beat competitors	Cut price
Distribution	Build selective distribution	Build intensive distribution	Build more intensive distribution	Go selective: phase out unprofitable outlets
Advertising	Build product awareness among early adopters and dealers	Build engagement and interest in the mass market	Stress brand differences and benefits	Reduce to level needed to retain hard-core loyals
Sales promotion	Use heavy sales promotion to entice trial	Reduce to take advantage of heavy consumer demand	Increase to encourage brand switching	Reduce to minimal level